



MICROECONOMICS

SUPPLY

Chapter 9 | Lecture 3

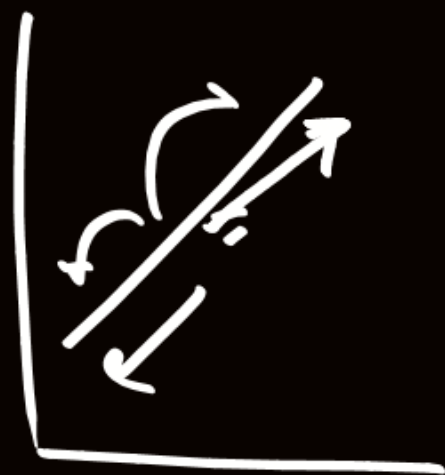
31st Aug. → 6:00PM

Rakhi Ka Shagun

Supply

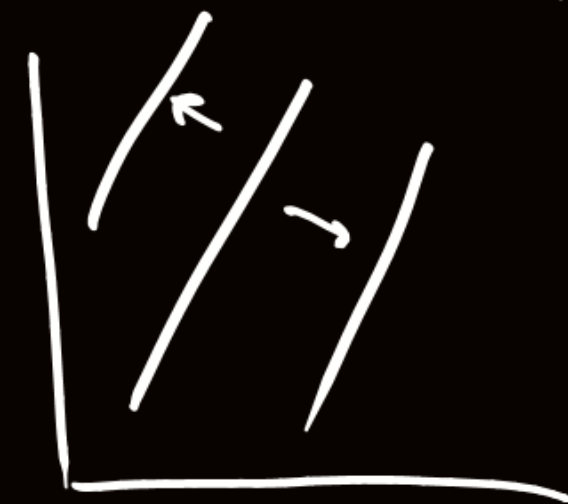
Change in Qty Supply

- Price change
- Other Factors Remain Constant
- Movement along the same curve



Change in Supply

- Other factors change
- Price constant
- Shift in curve



CHANGE IN QUANTITY SUPPLIED VS CHANGE IN SUPPLY

- **Change in Quantity Supplied**: Whenever supply for the given commodity changes due to change in its own price, then such change in supply is known as "Change in Quantity Supplied". For example, If supply of Close-Up changes due to change in its own price, then such change in supply for Close-Up is known as change in quantity supplied.
- **Change in Supply**: Whenever supply for the given commodity changes due to factors other than price, then such change in supply is known as "Change in Supply". For example, If supply of Close-Up changes due to change in price of other goods or due to change in technology or due to change in taxation policy, then such change in supply for Close-Up is known as change in supply.

Close-up

₹10

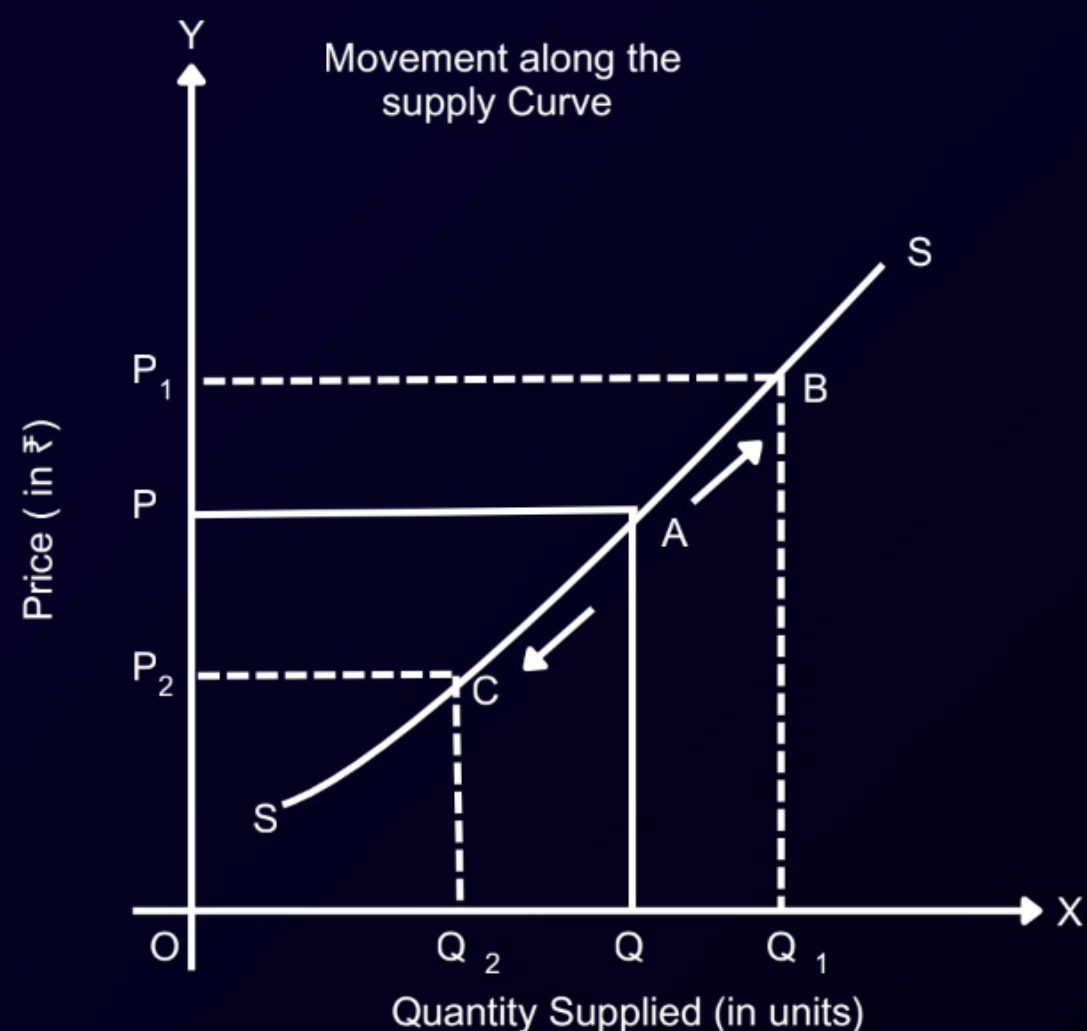
₹15 ↑

Close
up
₹10
S↓

Colgate
₹10
₹15
S↑

Movement along the supply Curve (Change in Quantity Supplied)

When quantity supplied of a commodity changes due to change in its own price, keeping other factors constant, it is known as 'change in quantity supplied'.



- **Expansion in Supply** is shown by an upward movement from A to B. Quantity supplied rises from OQ to OQ₁, due to rise in price from OP to OP₁.
- **Contraction in Supply** is shown by downward movement from A to C. Quantity supplied falls from OQ to OQ₂, due to fall in price from OP to OP₂.

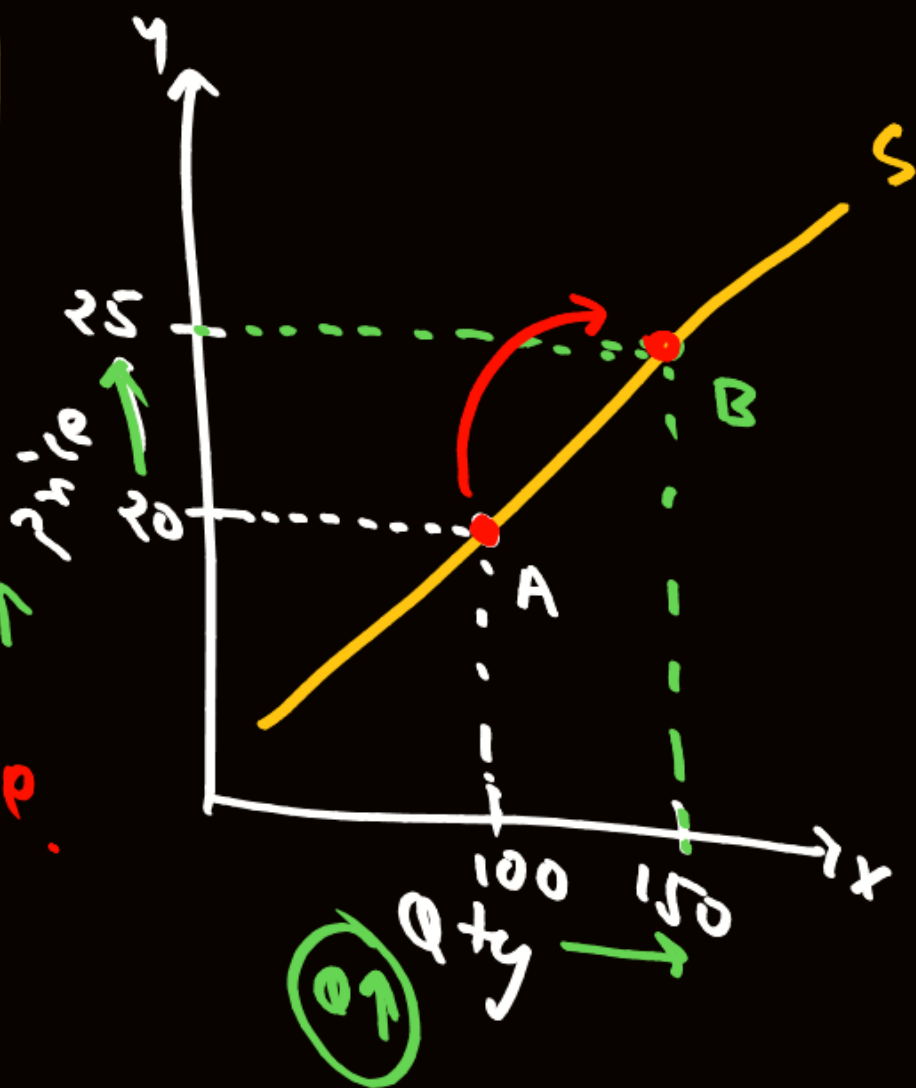


Change in Qty Supplied (only Price changes)

$P \uparrow S \uparrow$

Expansion in Supply

₹ Price	Qty
20	100
25	150

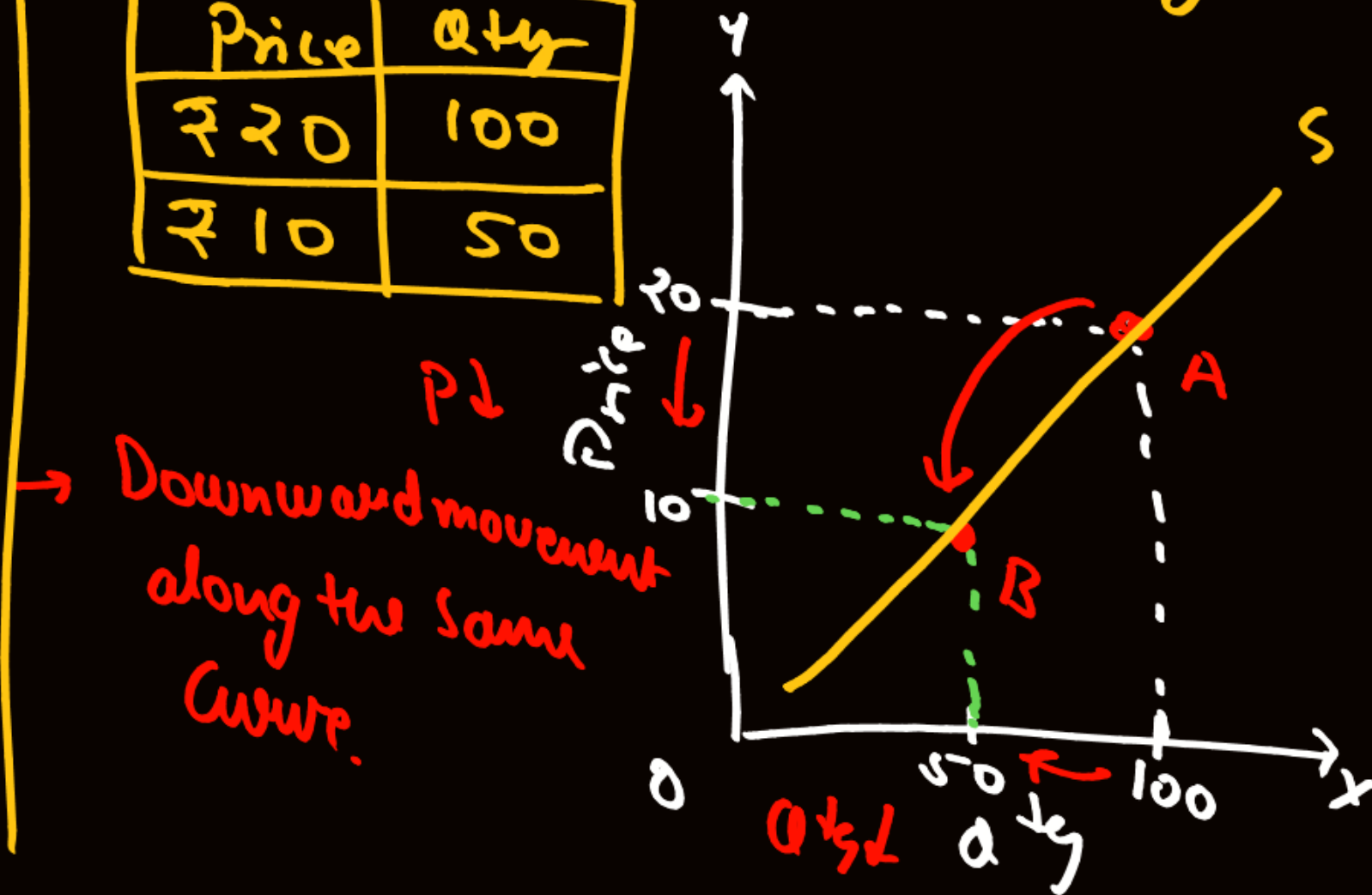


→ upward movement
along the same curve.

$P \downarrow S \downarrow$

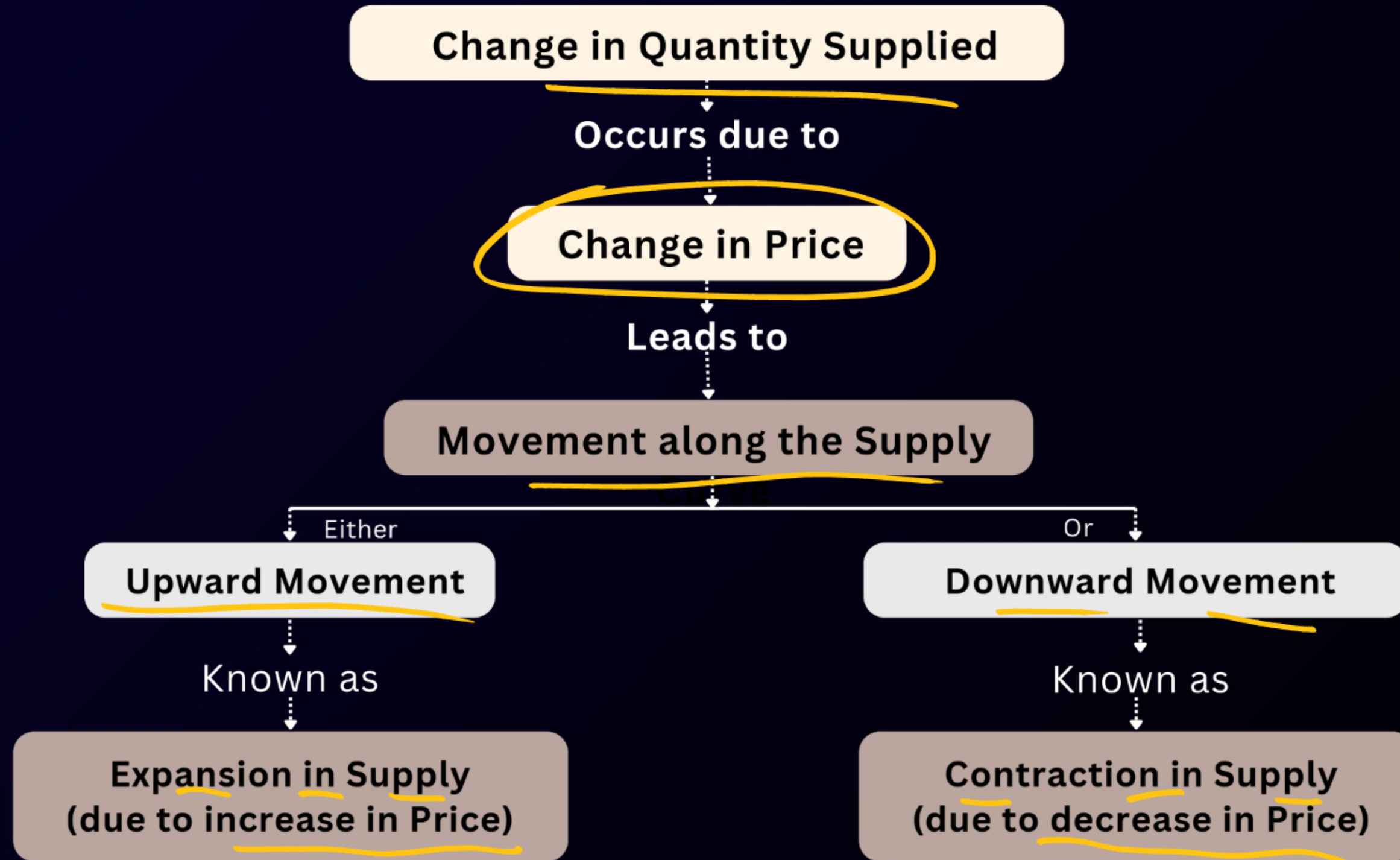
Contraction in Supply

Price	Qty
₹ 20	100
₹ 10	50



→ Downward movement
along the same
curve.

Movement along the supply Curve (Change in Quantity Supplied)

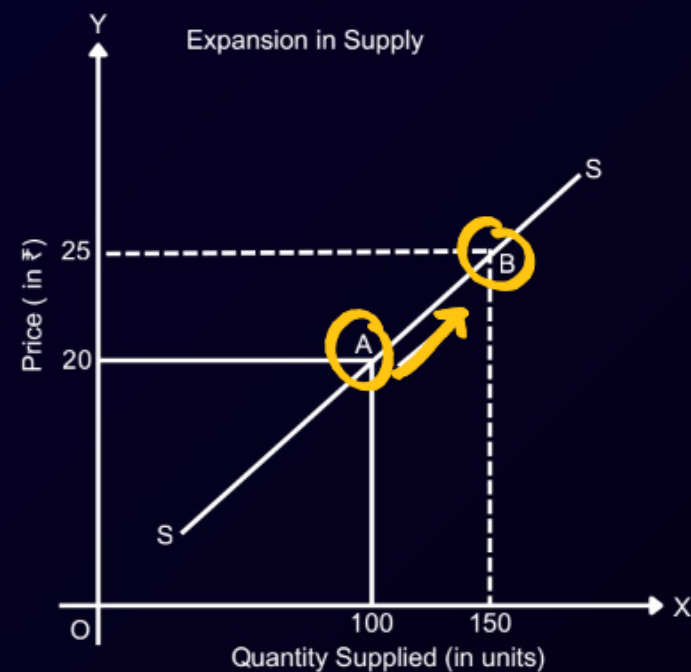


Movement along the supply Curve (Change in Quantity Supplied)

Expansion in Supply

Expansion in Supply refers to a rise in the quantity supplied due to increase in price of the commodity, other factors remaining constant.

Price (in ₹)	Quantity (in units)
$P \uparrow$ 20 25	100 150 $S \uparrow$



- It leads to an upward movement along the same supply curve.
- It is also known as 'Extension in Supply' or 'Increase in Quantity Supplied'.



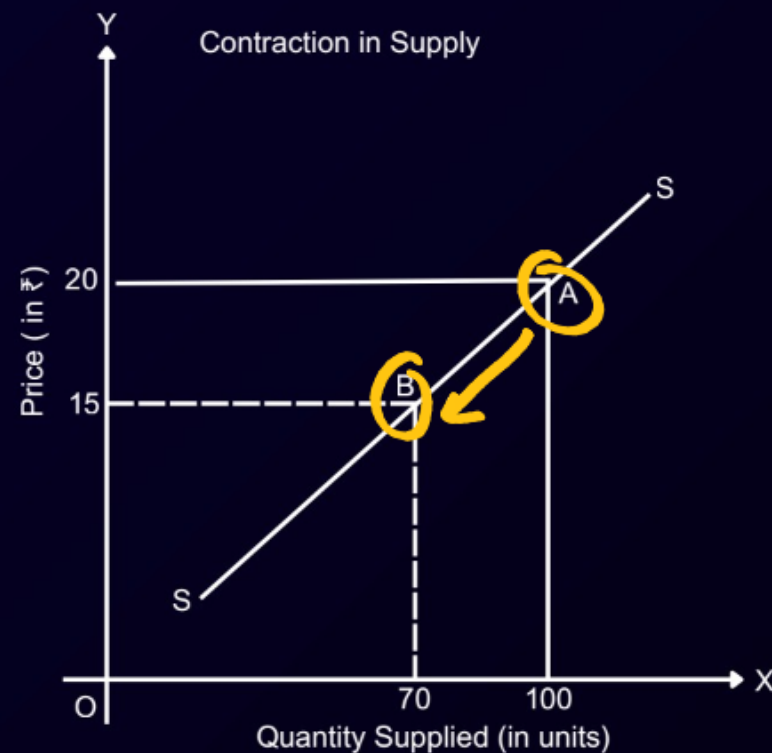
Movement along the supply Curve (Change in Quantity Supplied)

Contraction in Supply

Contraction in supply refers to a fall in the quantity supplied due to decrease in price of the commodity, other factors remaining constant.

Price (in ₹)	Quantity (in units)
$P \downarrow$ 20 15	100 70 $S \downarrow$

- It leads to an upward movement along the same supply curve.
- It is also known as 'Extension in Supply' or 'Increase in Quantity Supplied'.
Decrease



Price is constant

Change in Supply

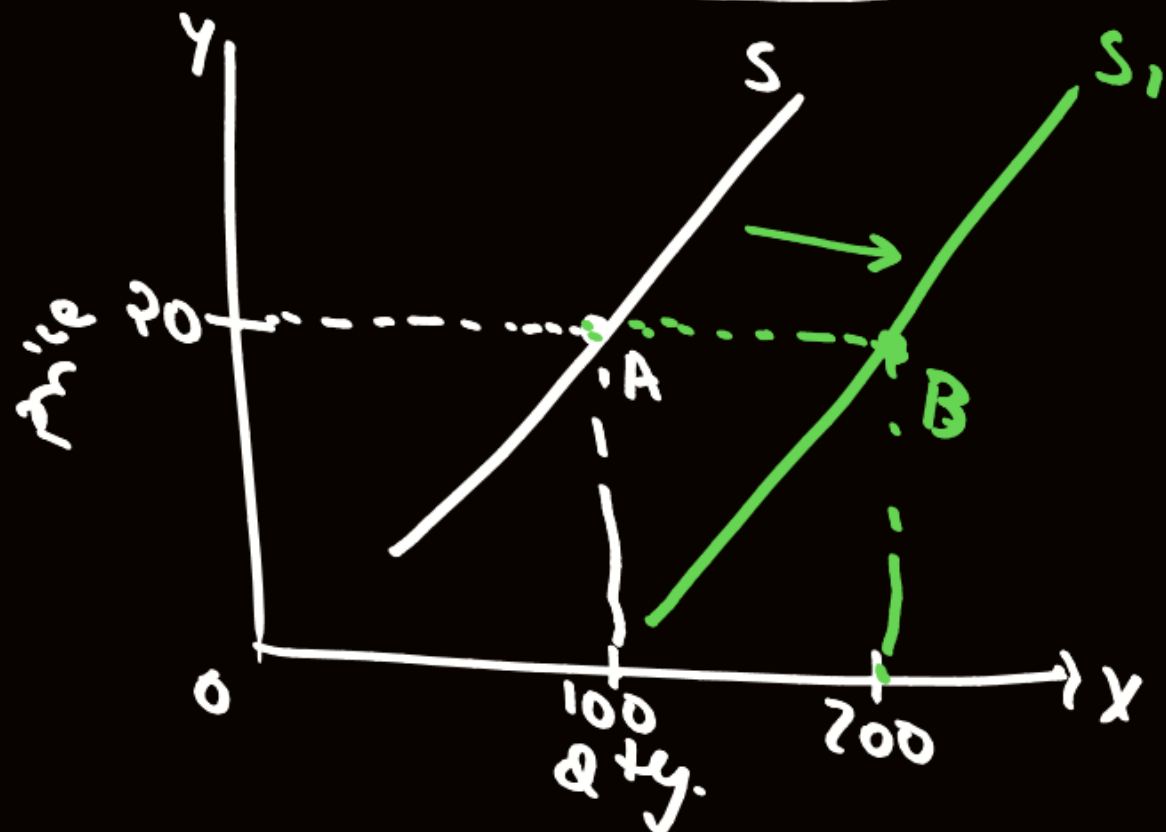
(Other Factors are change)

Rightward shift curve.

Increase in Supply

Price	Qty Supp	Firms
₹20	100	10
₹20	200	20

F↑
S↑



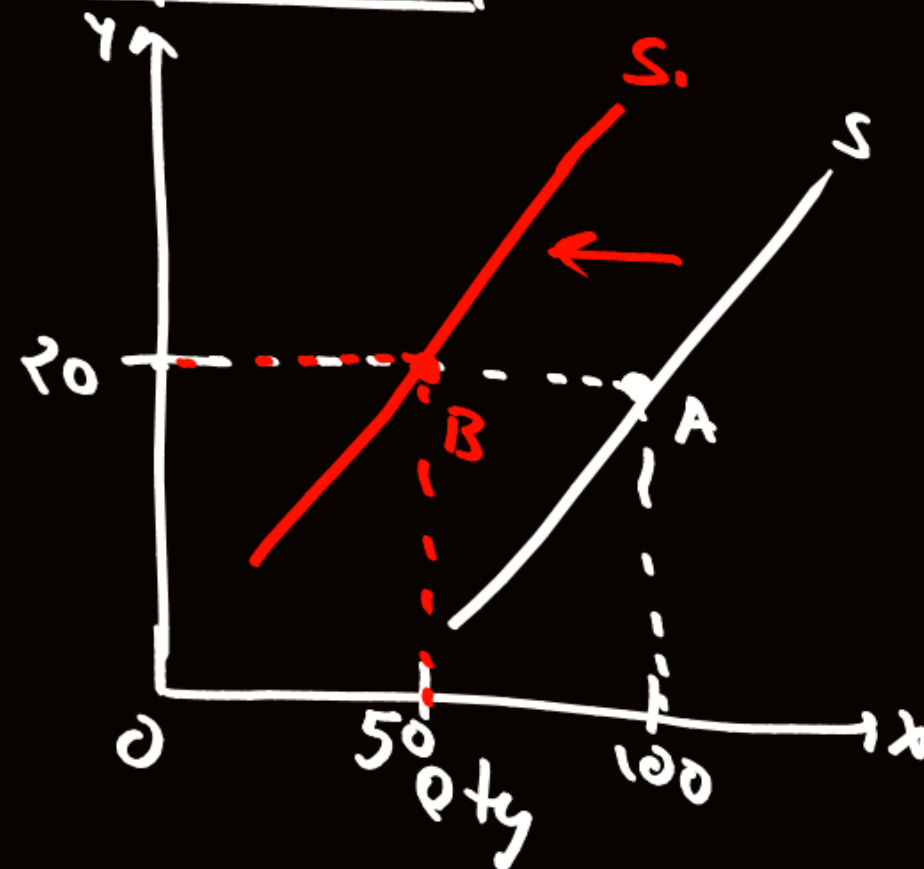
Decrease in Supply

A

Price	Qty	Firms
₹20	100	10
₹20	50	5

F↓
S↓

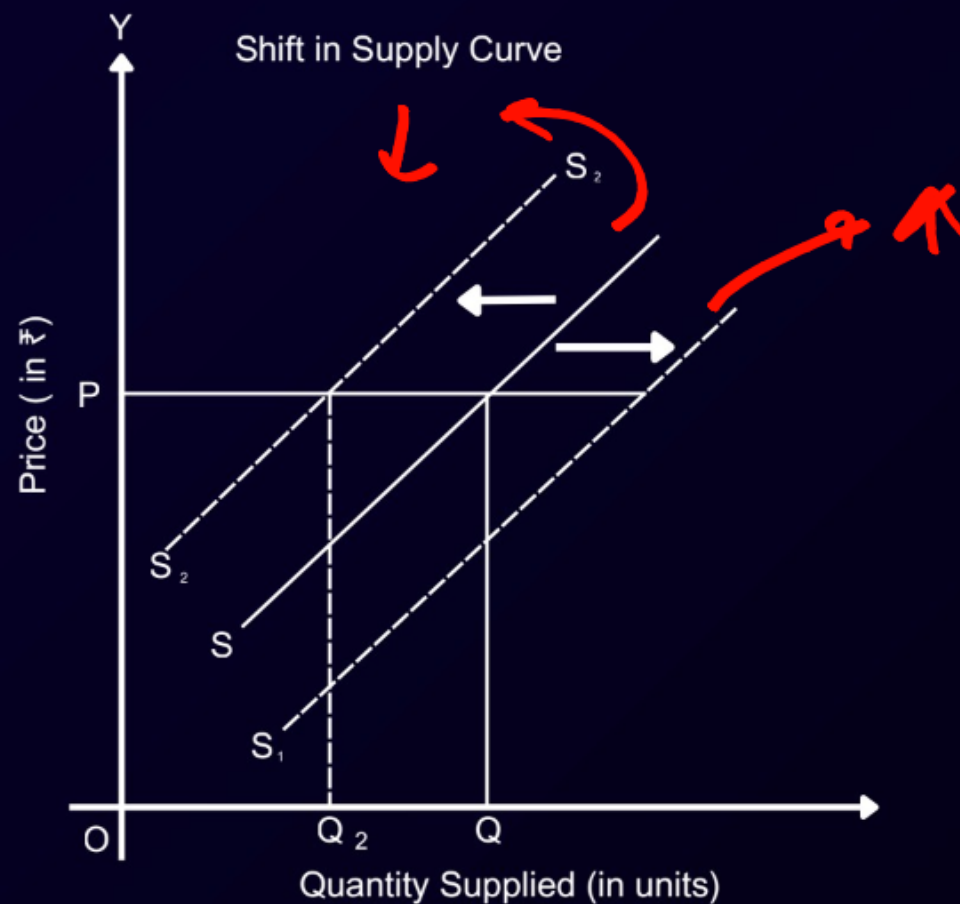
Leftward Shift Curve



Shift in Supply Curve (Change in Supply)

A change in one of 'other factors' shifts the supply curve.

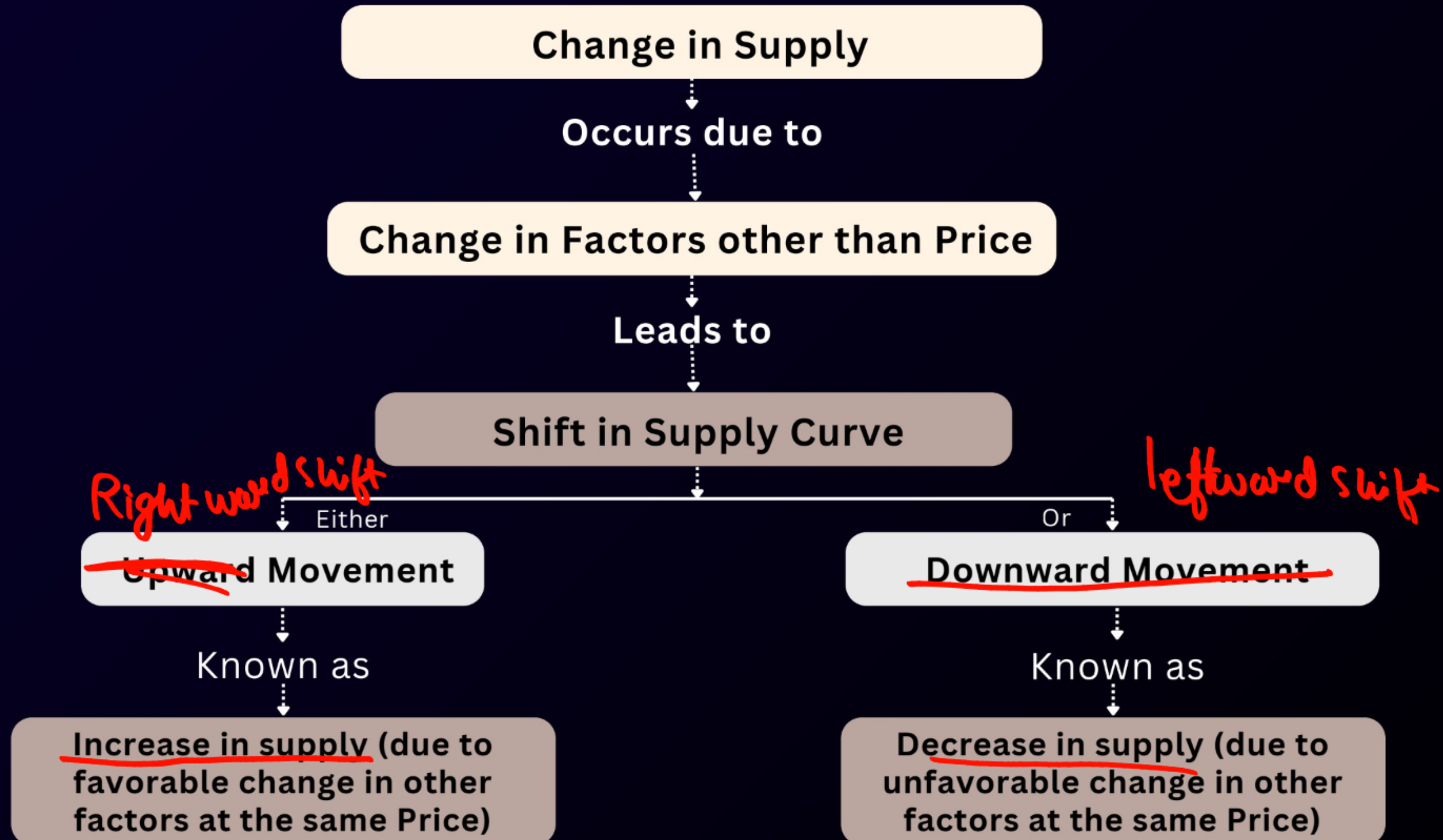
When supply of a commodity changes due to change in any factor other than the own price of the commodity, it is known 'change in supply'.



- **Increase in Supply** is shown by rightward shift in supply curve from S to S_2 . Supply rises from OQ to OQ_2 , due to favourable change in other factors at the same price OP .
- **Decrease in Supply** is shown by leftward shift in supply curve from S to S_1 . Supply falls from OQ to OQ_2 , due to unfavourable change in other factors at the same price OP .

- Rightward Shift
- Leftward Shift

Shift in Supply Curve (Change in Supply)

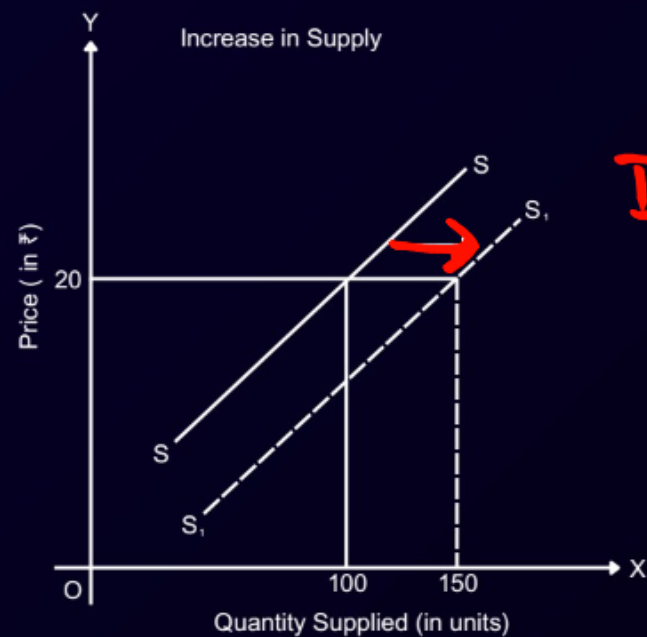


Shift in Supply Curve (Change in Supply)

Increase in Supply

Increase in supply refers to a rise in the supply of a commodity caused due to any factor other than the own price of the commodity.

Price (in ₹)	Quantity (in units)
20	100
20	150



Increase in Supply

Logic Tech ↑
Cost of Production ↓
Profit Margin ↑
Supply ↑

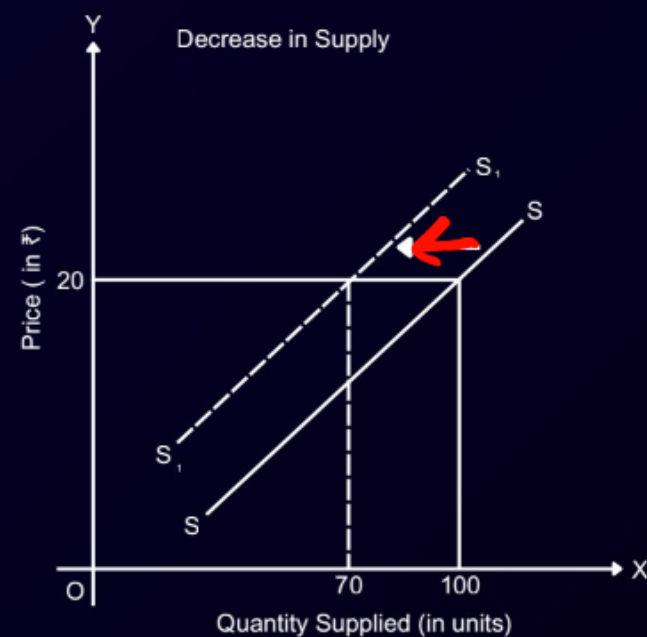


Shift in Supply Curve (Change in Supply)

Decrease in Supply

Decrease in supply refers to a fall in the supply of a commodity caused due to any factor other than the own price of the commodity.

Price (in ₹)	Quantity (in units)
20	100
20	70



Decrease in Supply



Tech ↓
Cost of Production ↑
Profit Margin ↓
Supply ↓

Movement along Supply Curve Vs Shift in Supply Curve

Basis	Movement along Supply Curve	Shift in Supply Curve
Meaning	When the quantity supplied changes due to change in price, keeping other factors constant, it leads to a movement along the supply curve.	When the supply changes due to change in any factor other than the own price of the commodity, it leads to a shift in supply curve.
Effect on Supply Curve	The movement is along the same supply curve either upward (known as Expansion in supply) or downward (known as Contraction in supply).	The shift in the supply curve is either rightward (known as Increase in supply) or leftward (known as decrease in supply).
Reason	It occurs due to an increase or decrease in the price of the given commodity.	It occurs due to a change in other factors like change in the price of inputs, change in taxes, change in technology etc.

Change in Quantity Supplied Vs Change in Supply

Basis	Change in Quantity Supplied	Change in Supply
Meaning	When the quantity supplied changes due to change in price, keeping other factors constant, it is known as change in quantity supplied.	When the supply changes due to change in any factor other than the own price of the commodity, it is known as change in supply.
Effect on Supply Curve	It leads to a movement along the same supply curve either upward (known as Expansion in supply) or downward (known as Contraction in supply).	It leads to shift in the supply curve either rightward (known as Increase in supply) or leftward (known as decrease in supply).
Reason	It occurs due to an increase or decrease in the price of the given commodity.	It occurs due to a change in other factors, like change in the price of inputs, change in taxes, change in technology etc.

Expansion in Supply Vs Increase in Supply

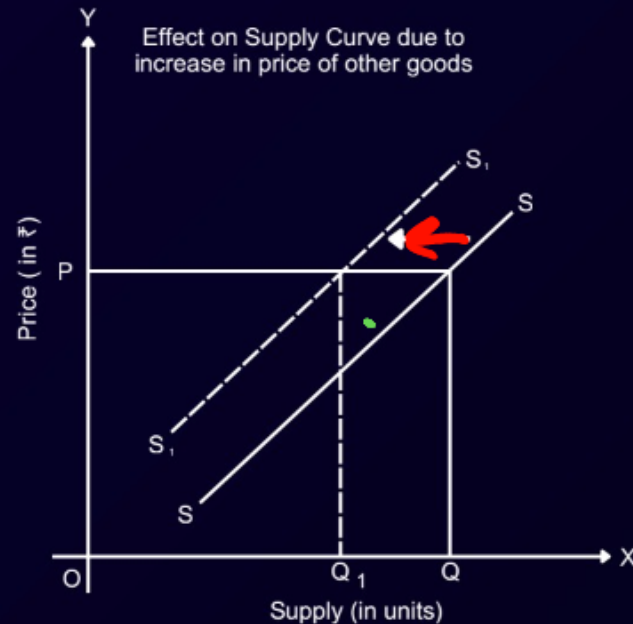
Basis	Expansion in Supply	Increase in Supply												
Meaning	When the quantity supplied rises due to In an increase in the price, keeping other factors constant, it is known as expansion in supply.	Increase in supply refers to a rise in the supply of a commodity caused due to any factor other than the own price of the commodity.												
Tabular Presentation	<table><tr><th>Price (₹)</th><th>Supply (Units)</th></tr><tr><td>10</td><td>100</td></tr><tr><td>12</td><td>150</td></tr></table>	Price (₹)	Supply (Units)	10	100	12	150	<table><tr><th>Price (₹)</th><th>Supply (Units)</th></tr><tr><td>10</td><td>100</td></tr><tr><td>10</td><td>150</td></tr></table>	Price (₹)	Supply (Units)	10	100	10	150
Price (₹)	Supply (Units)													
10	100													
12	150													
Price (₹)	Supply (Units)													
10	100													
10	150													
Effect on Supply Curve	There is an upward movement along the same supply curve.	There is a rightward shift in the supply curve.												
Reason	It occurs due to increase in price of the given commodity.	It occurs due to other factors like decrease in the price of inputs, decrease in taxes, technological upgradation etc.												

Contraction in Supply Vs Decrease in Supply

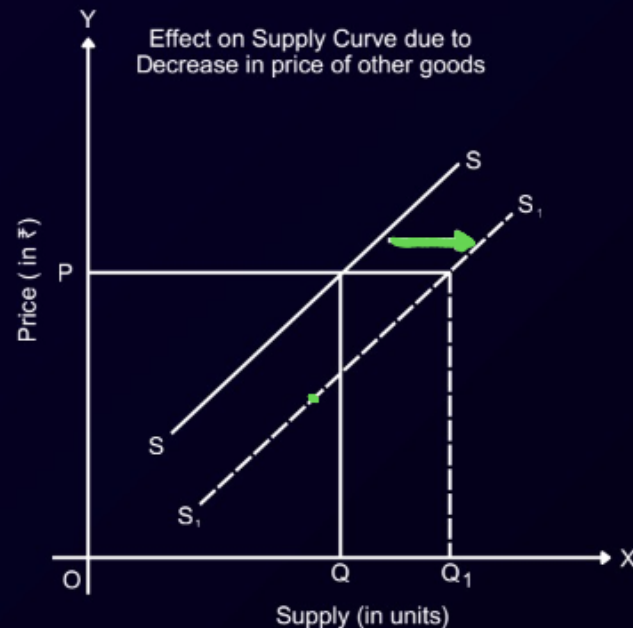
Basis	Contraction in Supply	Decrease in Supply												
Meaning	When the quantity supplied falls due to a decrease in the price, keeping other factors constant, it is known as contraction in supply.	Decrease in supply refers to a fall in the supply of a commodity caused due to s any factor other than the own price of the commodity.												
Tabular Presentation	<table><tr><th>Price (₹)</th><th>Supply (Units)</th></tr><tr><td>12</td><td>150</td></tr><tr><td>10</td><td>100</td></tr></table>	Price (₹)	Supply (Units)	12	150	10	100	<table><tr><th>Price (₹)</th><th>Supply (Units)</th></tr><tr><td>12</td><td>150</td></tr><tr><td>12</td><td>100</td></tr></table>	Price (₹)	Supply (Units)	12	150	12	100
Price (₹)	Supply (Units)													
12	150													
10	100													
Price (₹)	Supply (Units)													
12	150													
12	100													
Effect on Supply Curve	There is a downward movement along the same supply curve.	There is a leftward shift in the supply curve.												
Reason	It occurs due to decrease in price of the given commodity.	It occurs due to other factors like increase in the price of inputs, increase in taxes, technological degradation etc.												

Effect on Supply Curve (Due to Changes in Other Factors)

Change in Prices of other Goods



Supply curve of given commodity shift towards left from S to S_1 , S_1 , due to increase in price of other goods.

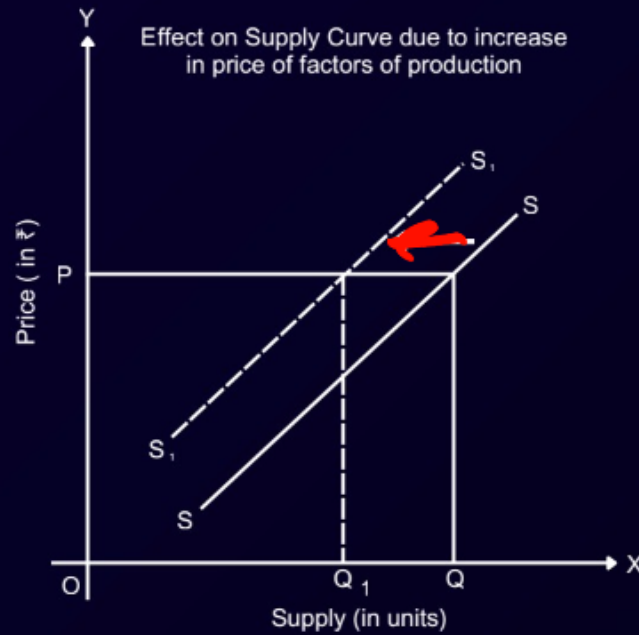


Supply curve of given commodity shift towards right from S to S_1 , S_1 , due to decrease in price of other goods.



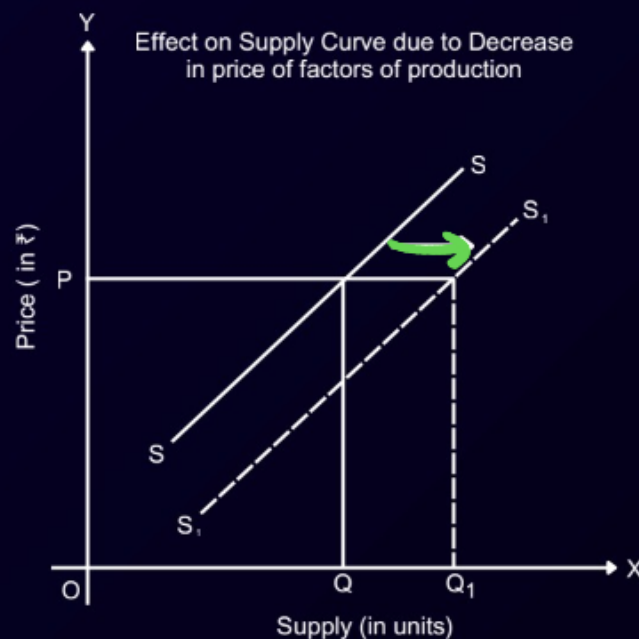
Effect on Supply Curve (Due to Changes in Other Factors)

Change in Prices of factors of Production



Supply curve of given commodity shift towards left from S to S_1 , S_1 , due to increase in price of factors of production.

$S \downarrow$ Factor of Production $\uparrow$
₹500 $\rightarrow$ ₹800

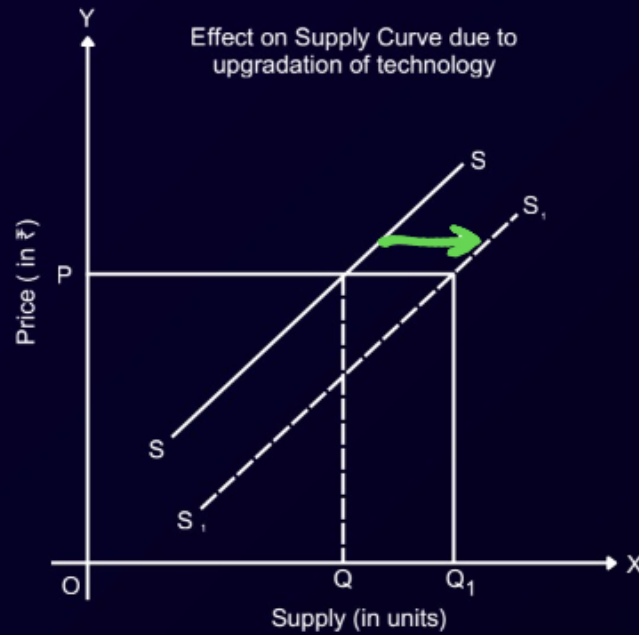


Supply curve of given commodity shift towards right from S to S_1 , S_1 , due to decrease in price of factors of production.

₹500 $\rightarrow$ ₹300
 $S \uparrow$ Factor of Production $\downarrow$

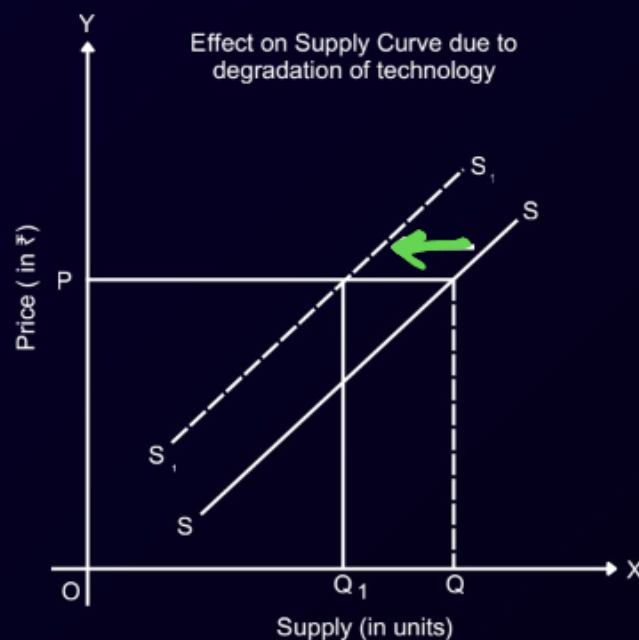
Effect on Supply Curve (Due to Changes in Other Factors)

Change in the state of Technology



Supply curve of given commodity shift towards left from SS to S_1 , S_1 , **due to upgradation of technology.**

Tech ↑
 $S \uparrow$



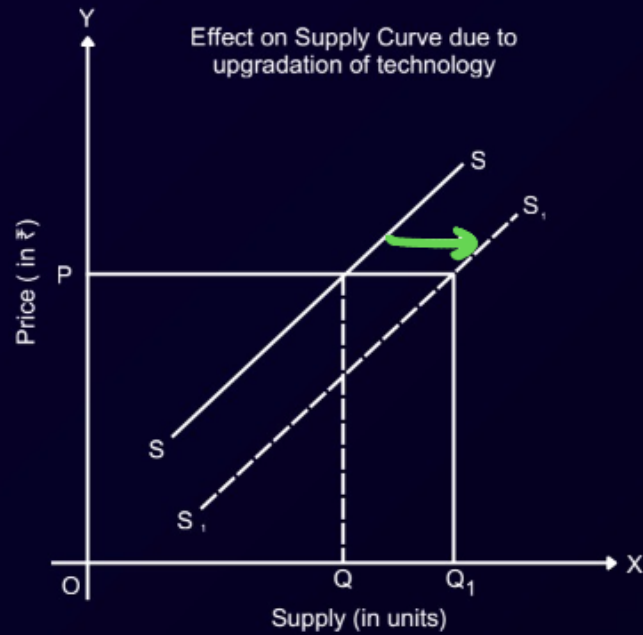
Supply curve of given commodity shift towards right from SS to S_1 , S_1 , **due to degradation of technology.**

Tech ↓
 $S \downarrow$



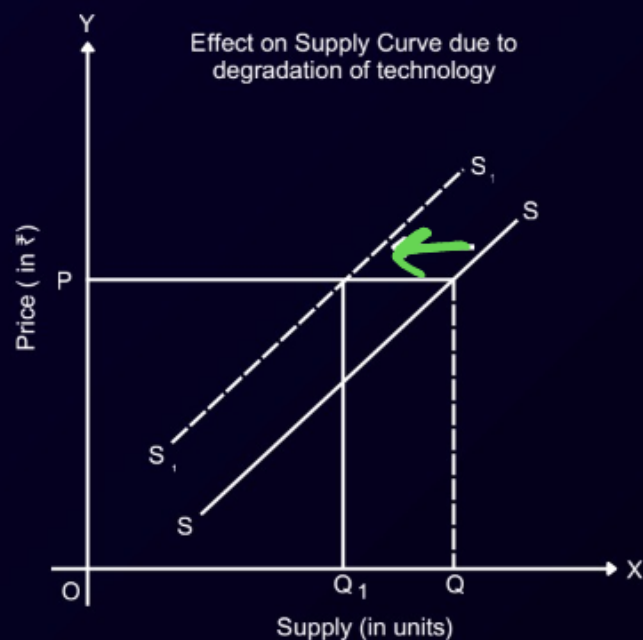
Effect on Supply Curve (Due to Changes in Other Factors)

Change in Taxation Policy



Supply curve of given commodity shift towards right from SS to S_1 , S_1 , **due to decrease in Taxation.**

$Tax \downarrow$ $S \uparrow$



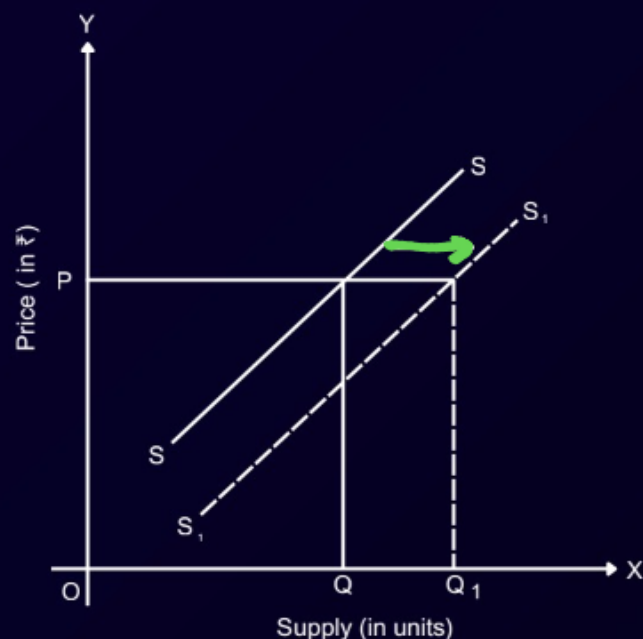
Supply curve of given commodity shift towards left from SS to S_1 , S_1 , **due to increase in Taxation.**

$Tax \uparrow$ $S \downarrow$



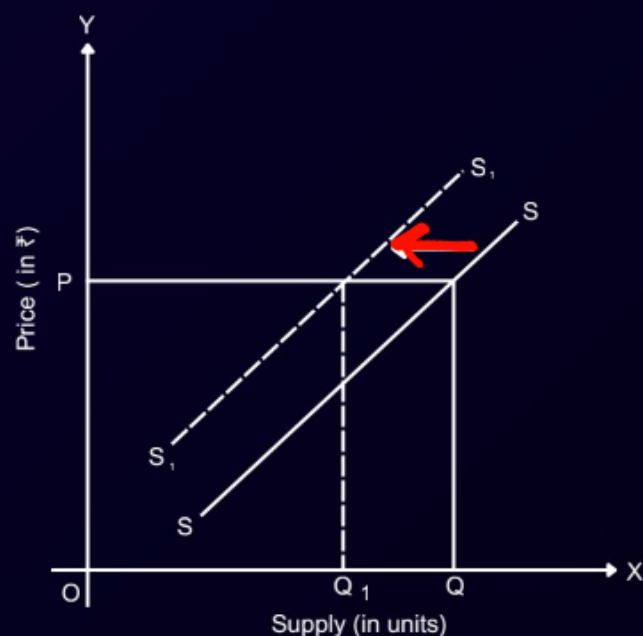
Effect on Supply Curve (Due to Changes in Other Factors)

Rightward and Leftward Shift in Supply Curve



Supply curve shifts towards right due to:

1. Decrease in price of other goods;
2. Decrease in price of factors of production (inputs);
3. Advanced and improved technology;
4. Favourable taxation policy (decrease in taxes);
5. Goal of sales maximization;
6. Increase in number of firms;
7. Expectation of fall in prices in future;
8. Improvement in means of transport and communication.



Supply curve shifts towards left due to:

1. Increase in price of other goods;
2. Increase in price of factors of production (inputs);
3. Complex and outdated technology;
4. Unfavourable taxation policy (increase in taxes);
5. Goal of profit maximization;
6. Decrease in number of firms;
7. Expectation of rise in prices in future;
8. Poor means of transport and communication.

DOUBT



**THANK
YOU**

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